

Amãna Bank



Amana Bank PLC (PB 3618 PQ)

Interim Financial Statements

31 March 2024

Vision

To be an admired leader in providing equitable financial solutions, not limited to numerics, but also in earning the trust of our customers, employees, shareholders and country.

Mission

To adopt a unique and people friendly approach in banking with a passion for continuous improvement, enabling growth and enriching lives.



Amana Bank surges ahead with aggressive outlook for 2024

- ***Records 91% growth in Q1 PAT***
- ***Advances up by 8%***

Amana Bank continued its robust performance trend as it completed a successful first quarter recording a notable 73% YoY increase in Profit Before Tax to reach LKR 734.5 million compared to LKR 423.5 million booked a year back while Profit After Tax surged by 91% YoY to post LKR 422.2 million as against LKR 220.7 million recorded in Q1 2023.

The Bank's top line witnessed a marginal decline to close at LKR 4.1 billion, owing to the drop in market rates in line with the Central Bank's economic revival policies. However by maintaining a healthy Financing Margin of 4.5%, Net Financing Income improved to close at LKR 1.8 billion.

The Bank's Fee and Commission Income and Trading Income grew YoY by 15% and 11% to close at LKR 285.9 million and LKR 275.1 million respectively resulting in the Bank's Total Operating Income reaching LKR 2.4 billion. After accounting for impairment charges, which showed a reduction compared to Q1 2023, reflecting prudent risk management, customer engagement and resultant revival, the Bank's Net Operating Income closed at LKR 2.1 billion reflecting a healthy 36% YoY growth.

The Bank continued to maintain a healthy cost to income ratio of 48%, resulting in a 51% YoY growth in Operating Profit before VAT on Financial Services to post LKR 993.6 million. The Bank's aggregate tax contribution of LKR 571.4 million accounted for a significant 58% of the Bank's Operating Profit before all taxes.

Owing to growing acceptance of its development focused banking model, the Bank's Advances grew by a commendable 8% to close at LKR 97 billion. Local currency deposits grew by over LKR 1 billion during the quarter but the overall portfolio remained at LKR 132 billion after considering effects of Rupee appreciation against the US Dollar for foreign currency deposits. The Bank continued to grow its advance base while maintaining an industry low Stage 3 Impaired Financing Ratio of 1.6%. The Bank closed the first quarter with Total Assets of LKR 161.6 billion.

Given the strong financial performance in the quarter, Amana Bank's ROE and ROA grew to 7.8% and 1.8% respectively compared to 6.2% and 1.2% respectively to the corresponding period of 2023. As at 31 March 2024, Amana Bank's Common Equity Tier 1 and Total Capital ratios stood at 15.6% and 18.3% respectively, well above the regulatory minimum requirement of 7% and 12.5%.

Commenting on the Bank's first three months performance Chairman Asgi Akbarally said "Amana Bank has continued to demonstrate its resilience with a strong Q1 performance in the backdrop of a challenging yet progressively improving economic landscape. This promising start serves as a catalyst for continued future growth and prosperity. I am thankful for the management and our staff for their dedication and unwavering commitment, which has been instrumental in ensuring Amana Bank's continued success."

Also sharing his sentiments Managing Director/CEO Mohamed Azmeer stated "The strong financial performance in the first quarter affirms Amana Bank's aggressive outlook towards 2024. Our commitment to providing development focussed and people friendly banking solutions which is also

in sync with the revival efforts of the Central Bank, coupled with Bank's prudent risk management framework, has driven our advances growth trajectory, which I am confident will continue through the rest of the year. I would like to commend our team for their hard work and dedication in achieving these excellent results as well as for their commitment towards our mission of enabling growth and enriching lives amongst all Sri Lankans through our unique banking model".

Through a Rights Issue in Q4 2023, the Bank successfully raised its capital to cross Rs 20 billion thereby meeting the enhanced minimum capital requirement in line with regulatory directions as well as fuelling the Bank's ambitious growth and expansion plans.

The Bank also recently announced its decision to consolidate the shares of the Bank in the proportion of consolidating 10 existing ordinary shares to 1 ordinary share subject to shareholder and regulatory approval. There will be no change in the stated capital of the bank as a result of the consolidation.

Amāna Bank PLC is a stand-alone institution licensed by the Central Bank of Sri Lanka and listed on the Colombo Stock Exchange, with Jeddah-based IsDB Group being the principal shareholder of the Bank. The IsDB Group is a 'AAA' rated multilateral development financial institution with a membership of 57 countries. Testifying its position as a leading practitioner of the non-interest based banking model, Amāna Banks continued to be recognised amongst the Top 100 Strongest Islamic Bank's in the World by The Asian Banker.

Amāna Bank does not have any subsidiaries, associates, or affiliated institutions apart from its engagement with OrphanCare as its Founding Sponsor.

STATEMENT OF PROFIT OR LOSS

FOR THE PERIOD ENDED

	FOR THE QUARTER ENDED 31 MARCH		
	2024 (Rs. '000)	2023 (Rs. '000)	Change %
Financing Income	4,142,046	4,407,863	(6%)
Financing Expenses	(2,346,047)	(2,636,681)	(11%)
Net Financing Income	1,795,999	1,771,182	1%
Net Fee and Commission Income	285,897	247,967	15%
Net Trading Income	275,098	247,488	11%
Net Gains / (Losses) from Financial Investments at Fair Value through Profit or Loss	2,284	8,878	(74%)
Net Gains / (Losses) from Derecognition of Financial Assets	(166)	(55)	(202%)
Net Other Operating Income	83	982	(92%)
Total Operating Income	2,359,195	2,276,442	4%
Impairment Charges	(243,285)	(723,678)	(66%)
Net Operating Income	2,115,910	1,552,764	36%
Personnel Expenses	561,892	434,787	29%
Depreciation and Amortisation of Property, Plant, Equipment and Right-of-Use Assets	79,320	67,698	17%
Other Operating Expenses	481,087	394,313	22%
Total Operating Expenses	1,122,299	896,798	25%
Operating Profit Before VAT on Financial Services & Social Security Contribution Levy	993,611	655,966	51%
VAT on Financial Services & Social Security Contribution Levy	(259,141)	(232,502)	11%
Profit Before Tax	734,470	423,464	73%
Tax Expense	(312,245)	(202,790)	54%
Profit for the Period	422,225	220,674	91%
Earnings Per Share - Basic/Diluted (in Rs.)	0.08	0.04	91%

STATEMENT OF COMPREHENSIVE INCOME

FOR THE PERIOD ENDED

	FOR THE QUARTER ENDED 31 MARCH		
	2024	2023	Change
	(Rs. '000)	(Rs. '000)	%
Profit for the Period	422,225	220,674	91%
Other Comprehensive Income/(Loss)			
Other Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:			
Financial Assets - Fair Value through Other Comprehensive Income:			
Net Gain / (Loss) on Financial Assets - Fair Value through Other Comprehensive Income	(5,402)	(5,402)	-
	(5,402)	(5,402)	-
Net Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:	(5,402)	(5,402)	-
Other Comprehensive Income / (Loss) for the Period Net of Tax	(5,402)	(5,402)	-
Total Comprehensive Income for the Period	416,823	215,272	94%

STATEMENT OF FINANCIAL POSITION

AS AT

	31 MAR 2024 (Rs. '000)	31 DEC 2023 (AUDITED) (Rs. '000)	Change %
Assets			
Cash and Cash Equivalents	9,688,694	11,100,863	(13%)
Balances with Central Bank of Sri Lanka	6,769,422	9,446,863	(28%)
Placements with Banks	40,496,208	42,474,570	(5%)
Placements with Licensed Finance Companies	81	81	-
Derivative Financial Assets	408,863	194,267	110%
Financial Assets Designated at Fair Value through Profit or Loss	34,875	8,994	288%
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	96,912,814	89,658,060	8%
Financial Assets Measured at Fair Value through Other Comprehensive Income	313,599	319,000	(2%)
Other Assets - Financial	2,585,651	2,006,909	29%
Property, Plant, Equipment And Right-of-Use Asset:	2,780,740	2,775,396	0%
Intangible Assets	363,498	379,309	(4%)
Other Assets - Non Financial	446,600	303,034	47%
Deferred Tax Assets	784,430	784,430	-
Total Assets	161,585,475	159,451,776	1%
Liabilities			
Due to Banks	335,657	321,167	5%
Derivative Financial Liabilities	121,414	948	12,707%
Financial Liabilities at Amortised Cost - Due to Depositors	131,906,108	132,937,607	(1%)
Other Liabilities - Financial	5,946,614	3,391,138	75%
Current Tax Liabilities	805,448	722,144	12%
Dividend Payable	6,326	6,326	-
Retirement Benefit Liability	133,767	130,416	3%
Other Liabilities - Non Financial	209,849	245,446	(15%)
Total Liabilities	139,465,183	137,755,192	1%
Shareholders' Funds			
Stated Capital	17,633,461	17,633,461	-
ESOP Reserve	57,864	50,979	14%
Statutory Reserve Fund	266,441	266,441	-
Revaluation Reserve	1,007,191	1,007,191	-
Fair Value Reserve	66,486	71,888	(8%)
Retained Earnings	3,088,849	2,666,624	16%
Total Equity	22,120,292	21,696,584	2%
Total Liabilities and Shareholders' Funds	161,585,475	159,451,776	1%
Net Asset Value per Ordinary Share	4.01	3.94	
Commitments and Contingencies	52,659,384	40,739,750	
Memorandum Information			
Number of Employees	889	886	
Number of Branches	33	33	

CERTIFICATION:

I certify that these Financial Statements comply with the requirements of the Companies Act No. 07 of 2007.

Sgd

M. Ali Wahid

Chief Financial Officer

13 May 2024

We, the undersigned, being Chairman and Managing Director / Chief Executive Officer of Amana Bank PLC certify jointly that:-

(a) the above statements have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka and Rule 7.4 of Colombo Stock Exchange.

(b) the information contained in these statements have been extracted from the unaudited Financial Statements of the Bank unless indicated as audited.

Sgd

Ali Asghar Akbarally

Chairman

13 May 2024

Sgd

Mohamed Azmeer

Managing Director / CEO

13 May 2024

STATEMENT OF CHANGES IN EQUITY

	Stated Capital	ESOP Reserve	Statutory Reserve Fund	Revaluation Reserve	Fair Value Reserve	Retained Earnings	Total
As at 31 December 2022 (Audited)	11,348,821	-	197,102	1,008,277	85,393	1,721,762	14,361,355
Profit for the three months ended 31 March 2023	-	-	-	-	-	220,674	220,674
Total Comprehensive Income for the three months ended 31 March 2023	-	-	-	-	(5,402)	-	(5,402)
As at 31 March 2023	11,348,821	-	197,102	1,008,277	79,991	1,942,436	14,576,627
Profit for the nine months ended 31 December 2023	-	-	-	-	-	1,166,103	1,166,103
Total Comprehensive Income for the nine months ended 31 December 2023	-	-	-	-	(8,103)	(3,503)	(11,606)
Scrip Dividend - 2023	283,963	-	-	-	-	(283,963)	-
WHT on Scrip Dividend	-	-	-	-	-	(50,111)	(50,111)
Share Issue Expenses	-	-	-	-	-	(36,085)	(36,085)
Rights Issue	6,000,677	-	-	-	-	-	6,000,677
FairValue of ESOP	-	50,979	-	-	-	-	50,979
Transfers to Statutory Reserve Fund	-	-	69,339	-	-	(69,339)	-
Transferred to Retained Earnings	-	-	-	(1,086)	-	1,086	-
As at 31 December 2023 (Audited)	17,633,461	50,979	266,441	1,007,191	71,888	2,666,624	21,696,584
Profit for the three months ended 31 March 2024	-	-	-	-	-	422,225	422,225
Total Comprehensive Income for the three months ended 31 March 2024	-	-	-	-	(5,402)	-	(5,402)
Share-Based Payment Expenses	-	6,885	-	-	-	-	6,885
As at 31 March 2024	17,633,461	57,864	266,441	1,007,191	66,486	3,088,849	22,120,292

STATEMENT OF CASH FLOWS

FOR THE PERIOD ENDED

	FOR THE YEAR ENDED 31 MARCH	
	2024 (Rs. '000)	2023 (Rs. '000)
		(AUDITED)
Cash Flows from Operating Activities		
Financing Income Received	4,193,783	4,596,270
Fees and Commission Received	285,731	247,782
Financing Expenses Paid	(2,327,421)	(2,246,142)
Foreign Exchange Income	275,098	247,488
Gratuity Payments Made	(5,202)	(6,827)
Payments to Employees and Suppliers	(1,286,682)	(992,691)
Operating Profit/(Loss) before Changes in Operating Assets and Liabilities	1,135,307	1,845,880
(Increase) / Decrease in Operating Assets		
Financing and Receivable to Other Customers	(7,477,885)	2,466,219
Other Assets	(689,517)	(241,332)
Balance with Central Bank of Sri Lanka	2,677,441	(176,283)
Increase / (Decrease) in Operating Liabilities		
Due to Other Customers	(932,857)	2,572,181
Due to Banks	14,490	(2,525,213)
Other Liabilities	2,356,165	342,040
Net Cash Flow from Operating Activities before Income Tax	(2,916,856)	4,283,492
Income Tax Paid	(228,942)	(169,286)
Net Cash From / (Used In) Operating Activities	(3,145,798)	4,114,206
Cash Flows From/(Used In) Investing Activities		
Acquisition of Property, Plant & Equipment	(67,776)	(40,363)
Proceeds from Sale of Property, Plant and Equipment	-	-
Acquisition of Intangible Assets	(1,077)	(5,278)
Investments in Placements with Banks	-	(3,082,752)
Investments in Placements with Licensed Finance Companies	1,825,999	(1,000,001)
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	(23,597)	12,917
Dividend Received from Financial Assets	83	982
Net Cash From / (Used In) Investing Activities	1,733,632	(4,114,495)
Cash Flows From / (Used In) Financing Activities		
Rights Issue of Shares		
Share Issue Expenses	-	-
Dividend Paid	-	-
Net Cash From / (Used In) Financing Activities	-	-
Net Increase / (Decrease) in Cash and Cash Equivalents	(1,412,166)	(289)
Cash and Cash Equivalents at the Beginning of the Year	11,107,767	22,607,924
Cash and Cash Equivalents at the End of the Period - Gross of Allowance for Impairment	9,695,601	22,607,635

CASH AND CASH EQUIVALENTS

	2024 (Rs. '000)	2023 (Rs. '000)
Cash in Hand	6,094,838	4,801,536
Balances with Banks	3,600,763	17,806,099
	9,695,601	22,607,635
Less: Allowance for Impairment	(6,907)	(6,333)
Total	9,688,694	22,601,302

NOTES TO THE FINANCIAL STATEMENTS

01. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies stated in the Annual Financial Statements describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 and by headings of the Statement of Financial Position.

RUPEES IN THOUSANDS				
	FAIR VALUE THROUGH PROFIT OR LOSS	AMORTIZED COST	FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	TOTAL AS AT 31.3.2024
Financial Assets				
Cash and Cash Equivalents	-	9,688,694	-	9,688,694
Balances with Central Bank of Sri Lanka	-	6,769,422	-	6,769,422
Placements with Banks	-	40,496,208	-	40,496,208
Placements with Licensed Finance Companies	-	81	-	81
Derivative Financial Assets	408,863	-	-	408,863
Financial Assets Designated at Fair Value through Profit or Loss	34,875	-	-	34,875
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	96,912,814	-	96,912,814
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	313,599	313,599
Other Assets - Financial	-	2,585,651	-	2,585,651
Total Financial Assets	443,738	156,452,870	313,599	157,210,207
Financial Liabilities				
Due to Banks	-	335,657	-	335,657
Derivative Financial Liabilities	121,414	-	-	121,414
Financial Liabilities at Amortised Cost - Due to Depositors	-	131,906,108	-	131,906,108
Other Liabilities - Financial	-	5,946,614	-	5,946,614
Total Financial Liabilities	121,414	138,188,379	-	138,309,793

	FAIR VALUE THROUGH PROFIT OR LOSS	AMORTIZED COST	FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	TOTAL AS AT 31.12.2023 (AUDITED)
Financial Assets				
Cash and Cash Equivalents	-	11,100,863	-	11,100,863
Balances with Central Bank of Sri Lanka	-	9,446,863	-	9,446,863
Placements with Banks	-	42,474,570	-	42,474,570
Placements with Licensed Finance Companies	-	81	-	81
Derivative Financial Assets	194,267	-	-	194,267
Financial Assets Designated at Fair Value through Profit or Loss	8,994	-	-	8,994
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	89,658,060	-	89,658,060
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	319,000	319,000
Other Assets - Financial	-	2,006,909	-	2,006,909
Total Financial Assets	203,261	154,687,346	319,000	155,209,607
Financial Liabilities				
Due to Banks	-	321,167	-	321,167
Derivative Financial Liabilities	948	-	-	948
Financial Liabilities at Amortised Cost - Due to Depositors	-	132,937,607	-	132,937,607
Other Liabilities - Financial	-	3,391,138	-	3,391,138
Total Financial Liabilities	948	136,649,912	-	136,650,860

02. FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

RUPEES IN THOUSANDS

ANALYSIS OF FINANCING AND RECEIVABLES TO OTHER CUSTOMERS	31.3.2024	31.12.2023 (AUDITED)
Gross Financing and Receivables to Other Customers	103,065,092	95,587,204
Accumulated Impairment		
Stage 1	(1,295,608)	(1,131,910)
Stage 2	(2,535,869)	(2,675,414)
Stage 3	(2,320,801)	(2,121,820)
Net Financing and Receivables to Other Customers	96,912,814	89,658,060

NOTES TO THE FINANCIAL STATEMENTS

ANALYSIS OF FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - (Contd...)

FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - BY PRODUCT

By Product - Domestic Currency	RUPEES IN THOUSANDS	
	31.3.2024	31.12.2023 (AUDITED)
Overdraft	10,523,953	8,881,574
Trade Finance	612,568	637,338
Lease Receivables	6,457,046	5,551,287
Staff Facilities	824,400	715,175
Term Financing	61,692,425	62,347,061
Gold Facilities	11,536,787	11,744,010
Others	393,536	594,422
Sub Total	92,040,715	90,470,867
By Product - Foreign Currency		
Overdraft	30,553	32,586
Term Financing	9,469,308	3,944,462
Trade Finance	1,463,244	1,009,372
Others	61,272	129,917
Sub Total	11,024,377	5,116,337
Total	103,065,092	95,587,204

03. IMPAIRMENT ALLOWANCE FOR FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, under SLFRS 9 is as follows:

	RUPEES IN THOUSANDS			
	STAGE 1	STAGE 2	STAGE 3	TOTAL IMPAIRMENT
ECL allowance as at 1 January 2024 under SLFRS 9	1,131,910	2,675,414	2,121,820	5,929,144
Charge/(Write Back) for the year	163,698	(139,545)	198,981	223,134
Amounts written off	-	-	-	-
As at 31 March 2024	1,295,608	2,535,869	2,320,801	6,152,278

	RUPEES IN THOUSANDS			
	STAGE 1	STAGE 2	STAGE 3	TOTAL IMPAIRMENT
				(AUDITED)
ECL allowance as at 1 January 2023 under SLFRS 9	980,928	1,711,996	1,226,947	3,919,871
Charge/(Write Back) for the year	150,982	963,418	997,123	2,111,523
Amounts written off	-	-	(102,250)	(102,250)
As at 31 December 2023	1,131,910	2,675,414	2,121,820	5,929,144

NOTES TO THE FINANCIAL STATEMENTS

04. COMMITMENTS AND CONTINGENCIES

ANALYSIS OF COMMITMENTS AND CONTINGENCIES	RUPEES IN THOUSANDS	
	31.3.2024	31.12.2023 (AUDITED)
Gross Commitments and Contingencies	52,765,684	40,827,874
Allowance for Impairment		
Stage 1	(84,720)	(69,049)
Stage 2	(16,995)	(12,781)
Stage 3	(4,585)	(6,294)
Net Financing and Receivables to Other Customers	52,659,384	40,739,750

FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - BY PRODUCT

	RUPEES IN THOUSANDS	
	31.3.2024	31.12.2023 (AUDITED)
Commitments for Unutilised Facilities	13,599,600	13,852,696
Letters of Credit	3,088,728	1,684,792
Guarantees, Bonds	5,938,186	4,718,325
Outward Clearing Cheques	629,744	779,852
Acceptances	4,675,807	4,383,996
Bills for Collection and Others	2,831,337	2,768,973
Promissory Forward Sales	18,561,079	11,667,240
Promissory Forward Purchases	3,441,203	972,000
Total	52,765,684	40,827,874

05. DUE TO OTHER CUSTOMERS - BY PRODUCT

ANALYSIS OF DEPOSITS	RUPEES IN THOUSANDS	
	31.3.2024	31.12.2023 (AUDITED)
By Product - Domestic Currency		
Demand Deposits	8,213,742	7,919,680
Savings Deposits	37,983,991	39,136,072
Time Deposits	60,604,915	58,708,725
Sub Total	106,802,648	105,764,477
By Product - Foreign Currency		
Demand Deposits	1,008,077	1,137,636
Savings Deposits	3,683,539	4,609,742
Time Deposits	20,411,844	21,425,752
Sub Total	25,103,460	27,173,130
Total	131,906,108	132,937,607

NOTES TO THE FINANCIAL STATEMENTS

06. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES

All financial assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, as described below.

- Level 1 Quoted price (unadjusted) in active markets for the identical assets or liabilities. This level includes listed equity securities and / or debt instruments.
- Level 2 Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 Inputs for asset or liability that are not based on observable market data (unobservable inputs). This level includes equity and / or debt instruments with significant unobservable components.

	RUPEES IN THOUSANDS		
	LEVEL 1	LEVEL 2	LEVEL 3
As at 31 December 2023			
Financial Assets			
Derivative Financial Assets	-	408,863	-
Financial Assets Designated at Fair Value through Profit or Loss	34,875	-	-
Income	310,606	-	2,993
	345,481	408,863	2,993
Financial Liabilities			
Derivative Financial Liabilities	-	121,414	-
	-	121,414	-

	RUPEES IN THOUSANDS		
	LEVEL 1	LEVEL 2	LEVEL 3
As at 31 December 2022			
Financial Assets			
Derivative Financial Assets	-	194,267	-
Financial Assets Designated at Fair Value through Profit or Loss	8,994	-	-
Income	316,007	-	2,993
	325,001	194,267	2,993
Financial Liabilities			
Derivative Financial Liabilities	-	948	-
	-	948	-

Derivative Financial Assets and Liabilities:

Derivative products are promissory forward foreign exchange transactions, valued using a valuation technique with market-observable inputs. The most frequently applied valuation techniques include promissory forward foreign exchange spot and Net Present Value.

Financial Assets Recognised through Profit or Loss - Measured at Fair Value, Financial Assets Measured at Fair Value through Other Comprehensive Income

The estimated fair values are based on quoted and observable market prices.

Financial Instruments not carried at Fair Value

Set out below is a comparison, by class, of the carrying amounts and fair values of the Bank's financial instruments that are not carried at fair value in the Financial Statements. This table does not include the fair values of Non-Financial Assets and Non-Financial Liabilities.

	31.3.2024		31.12.2023	
	CARRYING VALUE	FAIR VALUE	CARRYING VALUE (AUDITED)	FAIR VALUE (AUDITED)
Financial Assets				
Cash and Cash Equivalents	9,688,694	9,688,694	11,100,863	11,100,863
Balance with Central Bank of Sri Lanka	6,769,422	6,769,422	9,446,863	9,446,863
Placements with Banks	40,496,208	40,496,208	42,474,570	42,490,688
Placements with Other Companies	81	81	81	81
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	96,912,814	96,606,121	89,658,060	87,894,133
Other Assets - Financial	2,585,651	2,585,651	2,006,909	2,006,909
	156,452,870	156,146,177	154,687,346	152,939,537
Financial Liabilities				
Due to Banks	335,657	335,657	321,167	321,167
Financial Liabilities at Amortised Cost - Due to Depositors	131,906,108	131,906,108	132,937,607	132,937,607
Other Liabilities - Financial	5,946,614	5,946,614	3,391,138	3,391,138
	138,188,379	138,188,379	136,649,912	136,649,912

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the Financial Statements:

Balances with Banks, Balances with Licensed Finance Companies, Other Financial Assets and Other Financial Liabilities

For the above, the carrying value is a reasonable estimate of fair values.

Financial Assets at Amortised Cost - Financing and Receivables to Other Customers

The fair value of the above are estimated by discounting the estimated future cash flows using the prevailing market rates for financing as of the reporting date with similar credit risks and maturities (Level 3).

Financial Liabilities at Amortised Cost - Due to Depositors

The fair values of the above are deemed to approximate their carrying amounts as rate of returns are determined at the end of their holding periods based on the profit generated from the relevant investments.

NOTES TO THE FINANCIAL STATEMENTS

07. SELECTED PERFORMANCE INDICATORS (AS PER REGULATORY REPORTING)

	AS AT 31.3.2024	AS AT 31.12.2023 (AUDITED)
Regulatory Capital (Rs. '000)		
Common Equity Tier 1 (before applicable adjustments)	20,609,660	20,609,660
Common Equity Tier 1 (after applicable adjustments)	19,345,743	19,324,373
Tier 1 Capital	19,345,743	19,324,373
Total Capital	22,717,437	22,600,754
Regulatory Capital Ratios (%)		
Common Equity Tier 1 Capital Ratio (Minimum Requirement 7.0%)	15.6%	16.5%
Tier I Capital Ratio (Minimum Requirement 8.5%)	15.6%	16.5%
Total Capital Ratio (Minimum Requirement 12.5%)	18.3%	19.3%
Leverage Ratio % (Minimum Requirement 3%)	11.4%	11.6%
Assets Quality (Quality of Financing and Advance Portfolio)		
Impaired Financing and Advances (Stage 3) Ratio (%)	1.6%	1.5%
Impairment (Stage 3) to Stage 3 Financing and Advances Ratio (%)	55.1%	56.5%
Profitability		
Financing Margin (%)	4.5%	4.3%
Return on Assets (Before Tax)	1.8%	1.5%
Return on Equity	7.8%	7.7%
Regulatory Liquidity		
Statutory Liquid Assets		
- Domestic Banking Unit (Rs. in Millions)	46,175	51,296
- Foreign Currency Banking Unit (USD '000)	2,732	1,760
Statutory Liquid Assets Ratio % (Minimum Requirement 20%)		
- Consolidated	34.0%	38.6%
Total Stock of High Quality Liquid Assets (Rs. in Millions)	11,864	13,936
Liquidity Coverage Ratio (%) (Minimum Requirement 100%)		
- Rupee (%)	271.0%	300.0%
- All Currency (%)	208.2%	234.9%
Net Stable Funding Ratio (%) (Minimum Requirement 100%)	160.0%	187.7%

NOTES TO THE FINANCIAL STATEMENTS

08. SEGMENT INFORMATION

The following table presents information on total income, profit, total assets and liabilities regarding the Bank's operating segments.

FOR THE PERIOD ENDED 31 MARCH 2024	CONSUMER BANKING	BUSINESS BANKING	TOTAL BANKING	TREASURY	RUPEES IN THOUSANDS	
					UNALLOCATED / ELIMINATION	TOTAL
Income						
Financing Income	907,217	2,527,236	3,434,453	707,593	-	4,142,046
Net Fee and Commission Income	92,584	167,388	259,972	9,523	16,402	285,897
Net Trading Income	-	-	-	275,098	-	275,098
Net Gains / (Losses) from Financial Investments at Fair Value Through Profit or Loss	-	-	-	2,284	-	2,284
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	(166)	-	(166)
Other Operating Income	-	-	-	83	-	83
Total Income	999,801	2,694,624	3,694,425	994,415	16,402	4,705,242
Less						
Financing Expenses			(2,320,583)	(6,838)	(18,626)	(2,346,047)
Impairment Charges			(223,134)	(1,974)	(18,177)	(243,285)
Operating Expenses			(796,832)	(325,467)	-	(1,122,299)
Operating Profit Before VAT on FS & SSCL			353,876	660,136	(20,401)	993,611
VAT on FS & SSCL						(259,141)
Profit Before Tax						734,470
Tax Expense						(312,245)
Profit After Tax						422,225
Total Assets	24,449,614	72,463,200	96,912,814	50,593,846	14,078,815	161,585,475
Total Liabilities	99,436,412	32,469,697	131,906,109	421,722	7,137,352	139,465,183

FOR THE PERIOD ENDED 31 MARCH 2023	CONSUMER BANKING	BUSINESS BANKING	TOTAL BANKING	TREASURY	RUPEES IN THOUSANDS	
					UNALLOCATED / ELIMINATION	TOTAL
Income						
Financing Income	1,078,885	2,547,685	3,626,570	781,293	-	4,407,863
Net Fee and Commission Income	62,617	189,778	252,395	6,922	(11,350)	247,967
Net Trading Income	-	-	-	247,488	-	247,488
Net Gains / (Losses) from Financial Investments at Fair Value Through Profit or Loss	-	-	-	8,878	-	8,878
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	(55)	-	(55)
Other Operating Income	-	-	-	982	-	982
Total Income	1,141,502	2,737,463	3,878,965	1,045,508	(11,350)	4,913,123
Less						
Financing Expenses			(2,274,727)	(353,230)	(8,724)	(2,636,681)
Impairment Charges			(70,869)	-	(652,809)	(723,678)
Operating Expenses			(636,727)	(260,071)	-	(896,798)
Operating Profit Before VAT on FS			896,642	432,207	(672,883)	655,966
VAT on FS & SSCL						(232,502)
Profit Before Tax						423,464
Tax Expense						(202,790)
Profit After Tax						220,674
Total Assets	24,089,754	55,932,595	80,022,349	51,306,440	11,643,826	142,972,615
Total Liabilities	86,649,231	28,850,782	115,500,013	9,955,111	2,940,864	128,395,988

EXPLANATORY NOTES

- 1. These Interim Financial Statements have been prepared in accordance with LKAS 34 - Interim Financial Reporting and present information required by Listing Rules of Colombo Stock Exchange.
- 2. The interim condensed Financial Statements do not include all the information and disclosure required in the Annual Financial Statements, and should be read in conjunction with Annual Financial Statements as at 31 December 2023.
- 3. Utilisation of the Rights Issue Funds - The Bank raised Rs. 6,000,677,221 as new capital proceeds when it issued 2,608,990,096 Rights Shares at Rs. 2.30 per share during Q4 2023. The Bank utilised Rs. 1,181,337,001 of such proceeds to fund growth in Gross Advances during the period 1st November to 31 December 2023.

The balance amount of the capital proceeds amounting to Rs. 4,819,340,220 was fully utilised by the Bank to fund growth in Gross Advances during Q1 2024. Consequently, the full amount of new capital proceeds raised via the said Rights Issue has now been fully deployed by the Bank to fund its growth in Gross Advances.

- 4. The accounting policies adopted in the presentation of the interim condensed Financial Statements are consistent with those followed in the preparation of the Bank's Annual Financial Statements for the year ended 31 December 2023.
- 5. There are no material events that took place after the Statement of Financial Position date which require adjustment to or disclosures in the Financial Statements.
- 6. Comparative figures have been restated wherever necessary to conform to the current period's presentation.
- 7. There has not been a significant change in the nature of the contingent liabilities as disclosed in the Annual Report of 2023.
- 8. Market Price of Ordinary Shares (the Bank listed its ordinary shares on the Colombo Stock Exchange on 29 January 2014) :

	2024 Rs.	2023 Rs.
Last Traded Price as at 31 March	2.30	2.60
Highest Market Price during the quarter ended 31 March	2.30	3.30
Lowest Market Price during the quarter ended 31 March	1.90	2.50

EXPLANATORY NOTES

09. TWENTY LARGEST SHAREHOLDERS AS AT 31 MARCH 2024

No	Name of Shareholder	No. of Shares	%
1	IB Growth Fund (Labuan) LLP	1,372,772,458	24.91%
2	Seylan Bank PLC/Senthilverl Holdings (Pvt) Ltd	580,453,472	10.53%
3	Mr. Mohamed Haji Omar	494,322,862	8.97%
4	Mr. Osman Kassim	344,668,966	6.25%
5	Cargills Bank Limited/Senthilverl Holdings (Pvt) Ltd	290,226,736	5.27%
6	Bank Islam Malaysia Berhad	209,499,165	3.80%
7	AB Bank Limited	209,499,164	3.80%
8	Quick Tea (Pvt) Ltd	204,764,592	3.72%
9	Islamic Development Bank	183,392,984	3.33%
10	Akbar Brothers Pvt Ltd A/C No 1	183,024,592	3.32%
11	E.W. Balasuriya & Co. (Pvt) Ltd Acc No 01	130,434,783	2.37%
12	Domon Ltd	115,739,964	2.10%
13	Mr. Mohamed Aadil Mohamed Asmath	97,855,104	1.78%
14	P M Mohamedali & Co	87,536,656	1.59%
15	Millennium Capital Investments Pte Ltd	81,381,330	1.48%
16	Mr. Hanif Yusoof	67,478,260	1.22%
17	Mr. Mohamed Adnaan Mohamed Iqbal	65,275,410	1.18%
18	Mr. Shafik Kassim	64,452,364	1.17%
19	Mr. Sattar Kassim	47,244,668	0.86%
20	Mr. Nagi Saleh Mohammed Alfaqih	43,375,913	0.79%
Sub total		4,873,399,443	88.43%
Other Shareholders (Number of Shareholders 9,449)		637,858,018	11.57%
Total		5,511,257,461	100.00%
Percentage of Public Holding as at 31 March 2024			37.67%
Number of Shareholders			9,446
Float adjusted market capitalisation			Rs 4.57 Bn

Bank complies with the minimum public holding requirement under option 4 as specified by rule 7.13.1 (a) of the Listing Rules of Colombo Stock Exchange

10. DIRECTORS' HOLDING IN SHARES AS AT 31 MARCH 2024

Name	No. of Shares
Mr. Ali Asghar Akbarally	Nil
Mr. Dilshan Hettiaratchi	Nil
Mr. M Ataur Rahman Chowdhury	Nil
Mr. S M Asim Raza	Nil
Mr. Tishan Subasinghe	Nil
Mr. Omar Farook Kassim	Nil
Mr. Mohamed Adamaly	Nil
Mr. Mohamed Azmeer	3,000,000
Mr. Mohammad Hassan	Nil
Mr. K M P B Abdullah	Nil
Mr. Delvin Pereira (appointed w.e.f. 28 March 2024)	Nil